

INDIAN ECONOMY

LEVEL
II



LECTURES

AN OVERVIEW OF THE AIRLINES
AND PORTS SECTORS

MODULE - 47



A BRIEF ON THE STATUS OF CIVIL AVIATION SECTOR AS IN 2022

- The domestic air traffic in India has more than doubled from around 61 million in 2013-14 to around 137 million in 2019-20, registering a growth of over 14 percent per annum.
- In the context of COVID-19, the government introduced air transport bubbles or air travel arrangements with specific countries.
- Air India has been privatized and TATA group has taken 100% stake.
- UDAN is a regional airport development program and part of the Regional Connectivity Scheme (RCS) of upgrading underserved air routes.

- Till launching of UDAN in 2016, India had 74 airports having scheduled operations. But, within 4 - 5 years, 153 RCS airports, including 12 water aerodromes & 36 Helipads have been identified for operation of RCS flights.



WHAT ARE THE MAIN REASONS FOR NOT SATISFACTORY HEALTH OF THE AIRLINES SECTOR?



1. High oil prices and currency fluctuations
2. Lower yields - with discounts as the fare structure is slashed but, commensurate improvement in operational efficiency is lagging for majority of the airlines.
3. Traffic is stimulated by the lower fares on offers, which is resulting in huge losses to the airline sector.
4. High taxes on ATF. As domestic ATF is almost 40-50% costlier in comparison to US, EU, West Asia and Asia-Pacific, internationally, Indian Airlines are not able to compete.
5. There are also slot constraints, insufficient parking bays and congestion at several airports.
6. For some of the airlines - optimum utilisation of fleet, route network, organisational processes are missing.



WAY FORWARD FOR VIABLE, ROBUST CIVIL AVIATION SECTOR



1 DEVELOPING AVIATION INFRASTRUCTURE

- Complete planned airports under UDAN in a time-bound manner.
- In addition to completing two new airports for Delhi and Mumbai as early as possible, infrastructure capacity in the 10 other major airports should be augmented.

Now, the capacity augmentation of several airports are being undertaken through PPP framework. The interest of the customers with regard to financial viability must be looked at!

2 INCREASING INVESTMENTS

- Give financial and infrastructure support.
- Reduce taxes on MRO (Maintenance, Repair and Overhaul) services.
- Increase aircraft parking infrastructure and facilities at metro airports.
- Monetize vacant real estate near AAI airports.





WAY FORWARD FOR VIABLE, ROBUST CIVIL AVIATION SECTOR



3 ADDRESSING SHORTAGE OF SKILLED MANPOWER

- Promote collaboration between Original Equipment Manufacturers (OEMs), industry and educational institutes to teach the latest concepts of the aviation industry.
- Formulate long-term plans for advanced research in aviation technologies.
- Facilitate greater involvement of the private sector.

4 PROMOTING AIR CARGO GROWTH

- Promote “Fly-from-India” through the creation of transshipment hubs.
- Develop an integrated digital supply chain or e-cargo gateway based on the National Air Cargo Community System platform.





WAY FORWARD FOR VIABLE, ROBUST CIVIL AVIATION SECTOR



नागर विमानन मंत्रालय
MINISTRY OF
CIVIL AVIATION

**5**

EASING THE REGULATORY ENVIRONMENT

- Deregulate further and open up the aviation market to help increase passenger and freight traffic.
- Adopt a consistent model for tariff determination so that it reduces passenger cost.
- Bring Aviation Turbine Fuel under GST.
- Ensure DGCA acts as a truly independent regulator, with the Ministry of Civil Aviation focusing only on policies.
- Meet the regulatory and security requirements prescribed by the International Civil Aviation Organization at all times.





WAY FORWARD FOR VIABLE, ROBUST CIVIL AVIATION SECTOR

**6**

PRIORITISING AVIATION SAFETY

- Shift focus to pre-empting and preventing accidents/incidents.
- There should be **zero tolerance** for safety violations.
- **DGCA** should be given **autonomy** for an effective aviation safety oversight system. It should create a **single-window system** for all aviation related transactions, **queries** and **complaints**.



LENGTH OF INDIA'S COASTLINE ... TOTAL 7,516.6 kms

MAINLAND STATES / UNION TERRITORIES		
1	Gujarat	1,215 kms
2	Andhra Pradesh	974 kms
3	Tamil Nadu	907 kms
4	Maharashtra	653 kms
5	Kerala	570 kms
6	Odisha	476 kms
7	Karnataka	280 kms
8	West Bengal	157 kms
9	Goa Daman & Diu	160 kms
10	Puducherry	31 kms
	TOTAL	5,423 kms

ISLANDS		
1	A & N Islands	1,962 kms
2	Lakshadweep islands	132 kms
	TOTAL	2,094 kms

India's coastline touches 9 States and 4 Union Territories.



MAJOR PORTS IN INDIA ARE GOVERNED BY THE UNION



NON-MAJOR PORTS IN INDIA COME UNDER THE STATES' JURISDICTION



WHAT IS THIS MAJOR AND NON-MAJOR CONUNDRUM?

ENTRY 27 OF THE UNION LIST

Entry 27 of the Union List mentions ports declared by or under law made by Parliament - including their delimitation and the constitution and powers of the Port authorities therein – is the responsibility of the Centre.



WHAT ABOUT OTHER PORTS?

All other Ports fall within the jurisdiction of the authority of the State Governments, where the respective State Assemblies have powers to legislate.

There are 12 major ports and 187 non-major ports. The ports in India are governed by the Major Port Trusts Act, 1963 and the Indian Ports Act, 1908.



HENCE, MAJOR PORTS ARE THOSE DECLARED AS SUCH BY THE UNION GOVERNMENT!

- The Union Government under the provisions of the Indian Ports Act, 1908 declares a port as a “major port”.
- There is no mention in the Act on the qualifying conditions or criteria to declare a port as a “major port”.



MAJOR PORT NEED NOT HAVE HIGH CARGO TRAFFIC!

Deendayal Port in Kandla, Gujarat — a major port handled 123 million tonnes of cargo in 2020 whereas the Mundra Port - a non-major port in the same State - handled the highest volume of 137 million tonnes of cargo in the same period.

The Centre cannot declare Mundra as a major port, as that would bring the port under the Centre's jurisdiction!



MAJOR PORT CLASSIFICATION IS NOTHING TO DO WITH THE CARGO HANDLED!

- The difference between a major port and a non-major port lies in ownership, control and management of that port.
- It is not related to cargo volumes, port facilities or connectivity.
- The Centre can declare a port a major port, even before that port commences commercial operations.

SEE THE FOLLOWING EXAMPLES!

- New Mangalore port was declared 9th major port in India on May 4, 1974 before completion of the construction work.
- Jawaharlal Nehru Port in New Mumbai was declared a major port on May 28, 1982, whereas the actual commissioning of the port took place only on May 26, 1989.



THE FUNCTIONING OF KAMARAJAR PORT IS ENTIRELY DIFFERENT FROM OTHER MAJOR PORTS!

- Kamarajar Port in Ennore was declared a major port on March 23, 1999.
- It was incorporated as Ennore Port Limited as a Company under the Companies Act.
- It emerged as an exemplary major port.
- In 2020, Kamarajar Port handled 31.7 million tonnes with a total strength of just 102 employees!



WITH THE MAJOR PORT AUTHORITIES ACT, 2021 ... ALL OTHER MAJOR PORTS WILL EMULATE KAMARAJAR PORT!

With the enactment of The Major Port Authorities Act, 2021, the Indian major ports scenario is expected to change. Eleven major port trusts will get transformed into Port Authorities.



TWO MAJOR CHANGES AS PER THE MAJOR PORT AUTHORITIES ACT, 2021

1 LANDLORD PORT

- The transformation of these ports will be as landlord ports.
- It will leave all-cargo handling operations to the terminal operators in the private sector.
- This is the practice in the US and European Union.



2 THEY WILL BECOME PUBLIC LIMITED COMPANIES

- The Port authorities will transform into public limited companies to enable them to function efficiently as business enterprises.
- They will have easy access to financial markets, take management decisions with regard to speed and efficiency, and will have greater commitment and flexibility in implementing development projects.

INITIATIVES BY THE GOVERNMENT IN THE PORTS SECTOR DURING THE RECENT DECADE

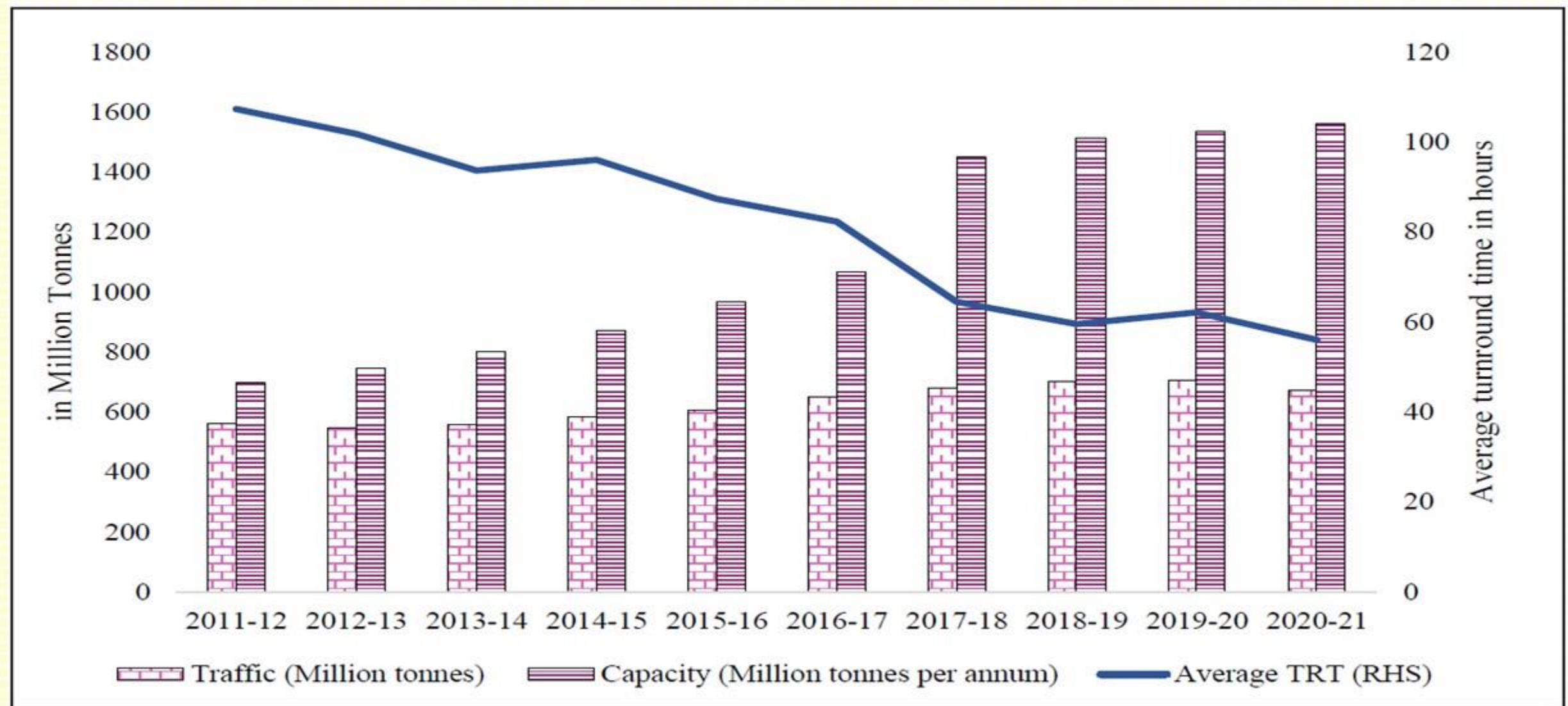
- Sagarmala is a National Programme aimed at accelerating economic development by harnessing India's around 7,500 km long coastline and 14,500 km of potentially navigable waterways.
- Sagarmala includes
 - ✓ port modernization & new port development
 - ✓ connectivity enhancement
 - ✓ port-led industrialization
 - ✓ coastal community development
 - ✓ coastal shipping and Inland water transport.

- The Major Port Authorities Act, 2021 provides for regulation, operation and planning of major ports in India and vests the administration, control and management of such ports upon the Boards of Major Port Authorities.





MASSIVE INCREASE IN CAPACITY AUGMENTATION AT MAJOR PORTS... HOWEVER, THE TRAFFIC INCREASE IS NOT COMMENSURATE!



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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